If the payments are made at the start of each period, you use "0" as your future value, else, enter “1” if the payments are at the end of each period. For example, the formula for investment with payments made at the start of each period would be “0”.

- **guess** is also an optional argument stipulating the initial guess for the interest rate.

Once you've entered these values, Excel will calculate the interest rate for the loan.

Note that money is going out of your pocket when making an Investment (negative), while that of a Loan (positive) money is coming in.

In the example below, the present value of the loan is $100,000 at an annual interest rate of 3%, the number of periods is 15, and the periodic payments are $1,200.

In the illustration below, you start by entering the title **LOAN CALCULATION** in cell **C2**.

Next, in cell **D4**, enter the present loan value as $100,000.

